RESERVE BANK OF INDIA & NABARD

FINANCIAL INCLUSION AND DEVELOPMENT DEPARTMENT

KISAN CREDIT CARD (KCC) SCHEME

MASTER CIRCULAR & OPERATIONAL DIRECTIVES

1. PURPOSE AND OBJECTIVES

1.1 The Kisan Credit Card (KCC) scheme provides adequate and timely credit support under a single window to farmers for their cultivation and other needs as indicated below: (i) To meet the short term credit requirements for cultivation of crops; (ii) Post-harvest expenses; (iii) Produce marketing loan; (iv) Consumption requirements of farmer household; (v) Working capital for maintenance of farm assets and activities allied to agriculture; (vi) Investment credit requirement for agriculture and allied activities (purchase of pump sets, tractors, land development).

2. TARGET BENEFICIARIES & ELIGIBILITY

2.1 All farmers who are individuals / Joint borrowers who are owner cultivators.

2.2 Tenant farmers, oral lessees, and sharecroppers cultivating leased land.

2.3 Self Help Groups (SHGs) or Joint Liability Groups (JLGs) of farmers including tenant farmers, sharecroppers.

2.4 Farmers engaged in Animal Husbandry, Dairy, Fisheries, Poultry, and Beekeeping are also eligible for working capital KCC credit limit up to Rs. 2.00 lakh.

3. FIXATION OF CREDIT LIMIT

3.1 **First Year Limit:** The credit limit for the first year is fixed based on: (Scale of finance for the crop x Extent of area cultivated) + 10% of limit towards post-harvest/household/consumption requirements + 20% of limit towards farm asset maintenance and crop insurance premium.

3.2 **5-Year Tenure & Automatic Escalation:** The KCC credit facility is valid for **5 years**. For each successive year (2nd to 5th year), the limit is increased by 10% of the first year limit to accommodate inflation and cost of inputs.

3.3 **Revolving Credit Facility:** There is no restriction on number of debits and credits. The balance outstanding can be repaid anytime within 12 months without penalty.

4. INTEREST SUBVENTION SCHEME (EFFECTIVE 4% INTEREST RATE)

4.1 **Concessional Lending Rate:** Under the Modified Interest Subvention Scheme (MISS) of the Central Government, short-term crop loans up to **Rs. 3.00 lakh** are disbursed to farmers at a benchmark interest rate of **7% per annum**.

4.2 **Prompt Repayment Incentive (PRI):** An additional interest subvention of **3% per annum** is provided to farmers who repay their crop loans on or before the due date. Thus, upon timely repayment, the effective interest rate payable by the farmer comes down to only **4% per annum**.

4.3 If a farmer defaults or delays repayment beyond the scheduled repayment date, the 3% PRI is forfeited and standard lending interest rates apply.

5. COLLATERAL-FREE LOAN WAIVER & SECURITY NORMS

5.1 **Collateral-Free Agricultural Loan Limit:** In accordance with RBI circular FIDD.CO.FSD.BC.No.13/05.05.010/2018-19, banks are mandated to waive margin requirements and security / collateral norms for agricultural loans **up to Rs. 1.60 lakh**.

5.2 For loans up to Rs. 1.60 lakh, the only security required is hypothecation of standing crops.

5.3 For tie-up arrangements with sugarcane mills or dairy federations, collateral waiver is extended up to Rs. 3.00 lakh.

5.4 For crop loans exceeding Rs. 1.60 lakh without tie-up: Hypothecation of crops and mortgage of agricultural land or third-party guarantee.

5.5 **Processing Fee Waiver:** Banks have waived processing fees, inspection charges, and ledger folio charges for KCC loan applications up to Rs. 3 lakh.